

SEC/PAM/2019

October 30, 2019

The Secretary BSE Limited Phiroze Jejeebhoy Towers, Dalal Street, MUMBAI - 400 001 STOCK CODE: 500510	National Stock Exchange Of India Limited Exchange Plaza, 5th Floor Plot No.C/1, G Block Bandra-Kurla Complex Bandra (E), Mumbai - 400 051 STOCK CODE: LT
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Dear Sir,

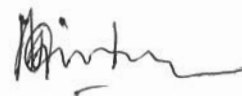
Sub.: Investor Presentation

Pursuant to Regulation 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith a copy of updated Investor Presentation, which will be uploaded to our Investor Website <http://investors.larsentoubro.com/>

We request you to take note of the same.

Thanking you,

Yours faithfully,
for LARSEN & TOUBRO LIMITED



N. HARIHARAN
EXECUTIVE VICE PRESIDENT &
COMPANY SECRETARY
(ACS 3471)

Encl : as above



Investor Presentation

Q2/H1 FY20
October 23, 2019

Disclaimer

This presentation contains certain forward looking statements concerning L&T's future business prospects and business profitability, which are subject to a number of risks and uncertainties and the actual results could materially differ from those in such forward looking statements.

The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, competition (both domestic and international), economic growth in India and the target countries for exports, ability to attract and

retain highly skilled professionals, time and cost over runs on contracts, our ability to manage our international operations, government policies and actions with respect to investments, fiscal deficits, regulations, etc., interest and other fiscal costs generally prevailing in the economy. Past performance may not be indicative of future performance.

The company does not undertake to make any announcement in case any of these forward looking statements become materially incorrect in future or update any forward looking statements made from time to time by or on behalf of the company.

L&T Overview



L&T - At a Glance

India's largest E&C company with interests in Projects,
Infrastructure Development, Manufacturing,
IT & Financial Services.



Professionally
Managed Company



Revenues

₹1,410Bn

FY 19 Group
(approx.US\$ 20 Bn)



Credit Ratings

CRISIL: AAA / Stable
ICRA: AAA (Stable)

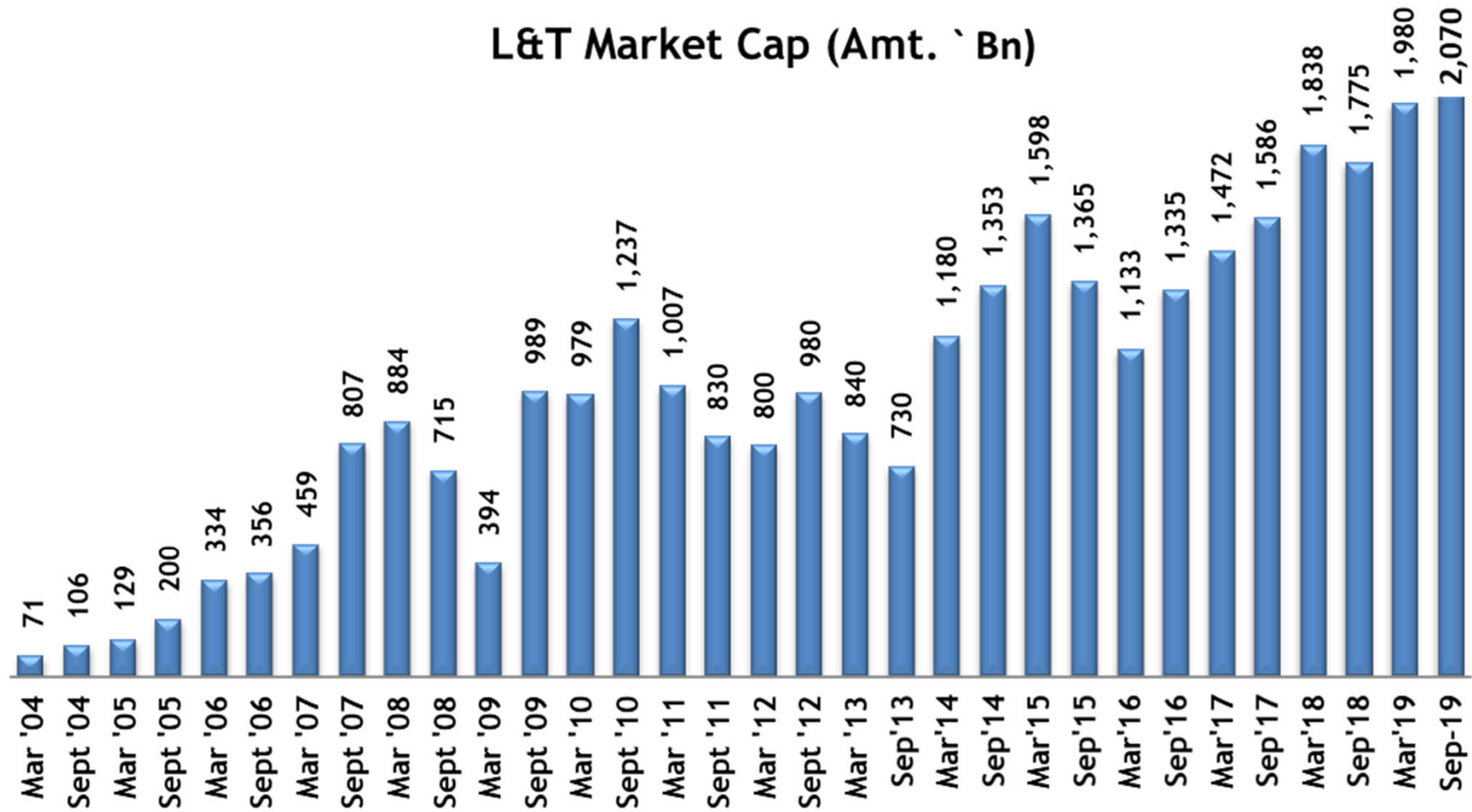


Market Cap

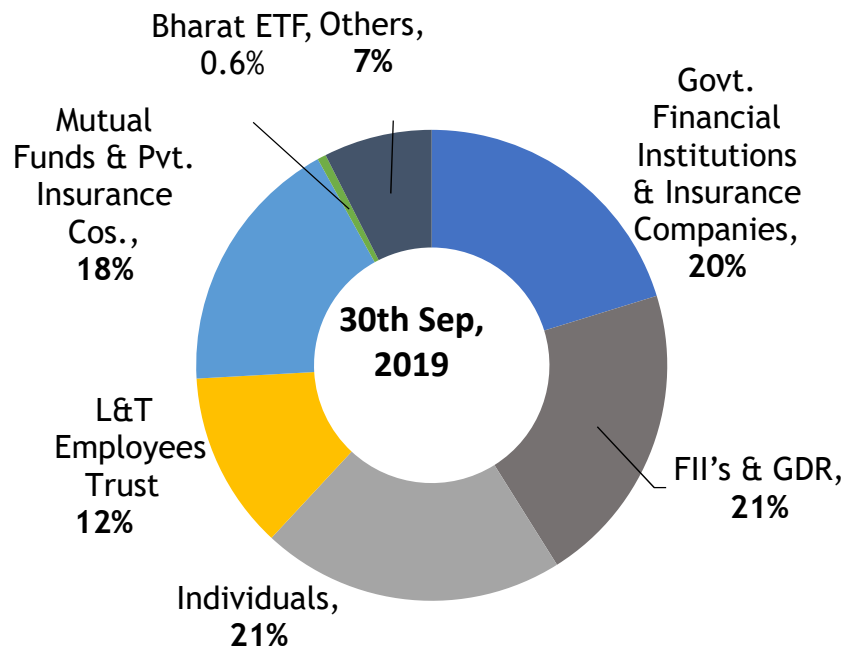
₹,2003Bn

24th Oct, 2019 (approx.
US\$ 29 Bn)

L&T - At a Glance



L&T - Shareholding Pattern



Major Institutional Shareholders

% Shares

Life Insurance Corporation of India	14.8%
HDFC Mutual Fund	4.2%
ICICI Prudential Life Insurance Co	2.0%
Reliance Mutual Fund	1.6%
Nomura Asset Management	1.3%

- Listed with BSE & NSE
- GDRs listed with LSE and LuxSE
- L&T is one of the most widely held listed companies in India
- No promoter holding
- Uninterrupted Dividend payment record since 1946

Experienced Management Team



A M Naik
Group
Chairman

BE [Mech]

Joined L&T in
March 1965

Diverse and vast
experience in
general
management,
Technology and
E&C



**S. N.
Subrahmanyam**
Chief Executive
Officer and
Managing
Director

B.SC ENGG
(CIVIL), MBA
(Finance)

Joined L&T in
November 1984

Vast experience
in Design &
Build (D&B)
Contracts, PPP
Projects,
Engineering and
Construction
Industry

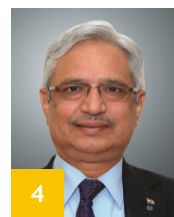


**R Shankar
Raman**
Whole-time
Director &
Chief Financial
Officer

B.Com, ACA,
ACMA

Joined L&T
Group
in Nov 1994

Vast experience
in Finance,
Taxation,
Insurance, Risk
Management,
Legal and
Investor
Relations



Shailendra Roy
Whole-time Director
& Sr. Executive Vice
President (Power)

B.Tech

Joined L&T in
2004

Vast experience
in Thermal
Power, Heavy
Engineering,
Nuclear Business



D. K. Sen
Whole-time
Director & Sr.
Executive Vice
President
(Infrastructure)

B.SC ENGG
(CIVIL), MBA
(Finance)

Joined L&T in
1989

Vast experience
in Design &
Engineering,
Business
Development,
Tendering and
construction



M. V. Satish
Whole-time Director
& Sr. Executive Vice
President (Building,
Minerals & Metals)

BE (Civil)

Joined L&T in
1980

Vast experience
in Construction,
Business
Development,
Contracts
Management
and Property
Development in
India and GCC
region

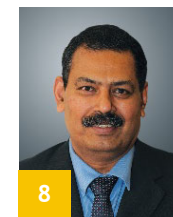


J.D. Patil
Whole-time
Director & Sr.
Executive Vice
President
(Defence, L&T Nxt)

M.Tech- IIT,
Mumbai

Joined L&T in
1978

Vast experience
in leading high
technology
interdisciplinary
strategic
programs across
defence &
aerospace
sector



**Subramanian
Sarma**
Non-Executive
Director

B.Tech (Chem.),
M.Tech - IIT,
Mumbai

Joined L&T Group
in 2015

Vast experience in
managing large
business portfolios
in energy sector

Corporate Governance

L&T's essential character revolves around values based on transparency, integrity, professionalism and accountability.

Four-tier
Governance
Structure

Board
of Directors

Executive Committee
(ECom)

Independent Company
(IC) Board

Strategic Business Group
(SBG) / Business Unit (BU)

Sustainability & Integrated Report

<IR> 2018-19 available on www.Larsentoubro.com

Based on International
Integrated Reporting
Council (IIRC) framework

Reports progress on
Sustainable Development
Goals (SDGs)

In alignment with
Global Reporting
Initiative (GRI)
Standards 'In
Accordance -
Comprehensive
option' - highest
level of disclosure in
public domain



Thrust Areas



Energy
Conservation



Renewable
Energy



GHG
Emission
Reduction



Water
Efficiency



Materials
Management



Increasing
Green
Portfolio



Improving
Vendor
Sustain -
ability



Employee
engagement,
Safety and
well-being



Community
development
health, education,
water and Sanitation
and skill building



Sustainability - Environment & Social

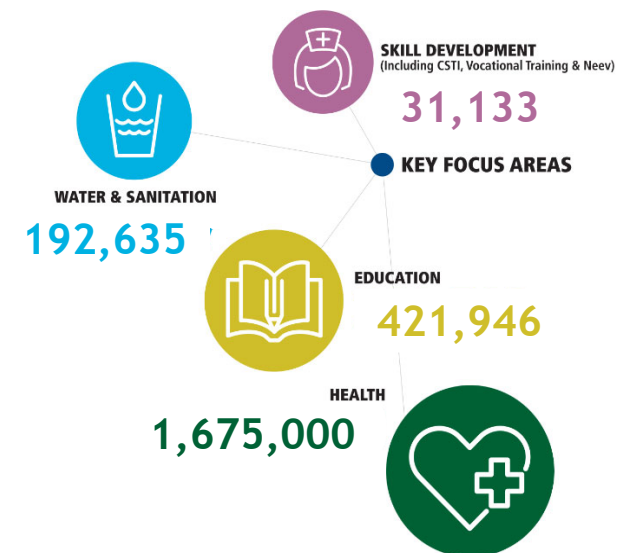
Green Product Portfolio – INR 317. 65 Billion

- 24 campuses have achieved the 'zero water discharge' status
- Secured 500+ MV Grid connected solar PV projects across India
- Savings of 110 Mn units of energy and avoiding 90500+ tonnes of CO2 emissions through concerted energy conservation projects.
- Constructed 17 green buildings including a green factory within our campuses



CSR Highlights – 2.3 million beneficiaries

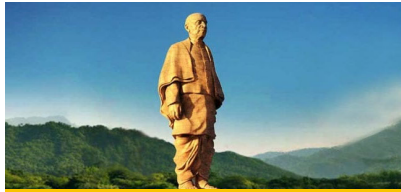
- Theme: Building India's Social Infrastructure
- Integrated Community Development Program (ICDP) at six water stressed districts in 3 states covering 20,100 + households
- 50% women participation in village development committees



Business Overview



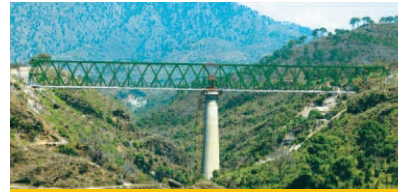
Builders to the Nation



Statue of Unity, Gujarat



Turbine Rotor, Gujarat



88m Rail Bridge Jammu Udhampur



Wankhede Stadium, Mumbai



Baha'i Temple, Delhi



Mumbai International Airport



Medigadda Barrage, Telangana



Vivekanand Bridge, Kolkata



Kakrapar Nuclear Power Plant, Guj



Vizag Steel Plant



Sri Sathya Sai Whitefield Hospital



Srinagar Hydro Electric Plant



Hydrocracker, HPCL Visakh Refinery



2x384 MW CCPP, Vemagiri, A.P.



Gas Platform, Abu Dhabi



Water Treatment Plant, Barmer

International Footprint - Marquee Jobs



Stadium at Barbados



Salalah Airport, Oman



Twin Towers, Dubai Marina



NMC Speciality hospital, Abu Dhabi



Bhukara Hotel, Uzbekistan



World's Longest Conveyer, Bangladesh



Bulk Cement Terminal, Colombo



Fabrication Facility, Oman



Punatsangchhu HEP, Bhutan



Sheikh Khalifa Interchange, UAE



Coal Gasifier for China



Transmission Lines, Fujirah, Dhaid



Water Treatment Plant, Doha



Petronas Refinery, Malaysia



Bi-metallic Urea Stripper for Saudi



MV Switchgear Factory, Malaysia

Value creating Integrated Business Model



E&C Delivery Platform

One of Asia's largest vertically integrated E&C Companies

EPC PROJECTS

Design & Engineering



Construction



Manufacture & Fabrication



Single point responsibility for turnkey solutions

Quality Customer Mix



!G9K!M9J<



هيئة مياه وكهرباء أبوظبي
Abu Dhabi Water & Electricity Authority



هيئة كهرباء ومياه دبي
Dubai Electricity & Water Authority



أدنوك
ADNOC
شركة بترول أبوظبي الوطنية



Dhaka Metro Rail



ArRiyadh Development
Authority

شركة البترول الوطنية الكويتية (ش.م.ك.)
KNPC



Petroleum Development Oman

Multiple Alliances & Joint Ventures

Alliances

IHI

 **TOYO ENGINEERING CORPORATION**

ATOMSTROYEXPORT



Rolls-Royce



MBDA



HALDOR TOPSØE 

AKER KVÆRNER



Pre Qualifications



Stamicarbon

KBR

PARSONS

Lurgi



UOP

Joint Ventures



KOBE STEEL, LTD.

Note: Some of these are project specific alliances & pre qualifications

L&T's Business Structure



Group Performance



Performance Highlights - Q2 FY20





Key Financial Indicators

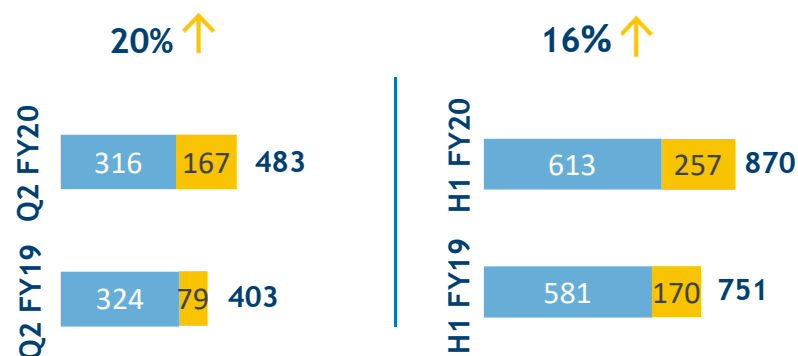
(Amount in ₹ bn)

Q2 FY19	Q2 FY20	% Var	Particulars	H1 FY19	H1 FY20	% Var
403	483	20%	Order Inflow	751	870	16%
			Order Book	2782	3032	9%
307	353	15%	Revenue	577	650	13%
35	40	14%	EBITDA	63	71	13%
22	25	13%	Reported PAT	34	40	16%
			Net Working Capital	20%	23%	
			RONW (TTM) (%)	15.2%	15.8%	+60bps

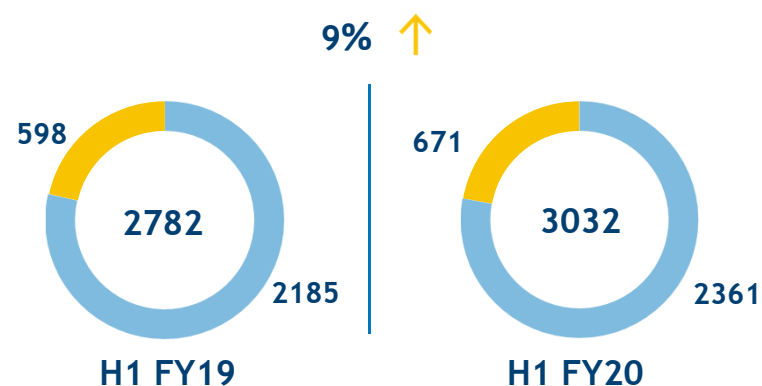
Q2/H1 FY20 Order Inflow/Order Book

(Amount in ₹ bn)

Order Inflow



Order Book



■ Domestic ■ International

- Growth in Order Inflows obtained from International business
- Prospect pipeline for H2 encouraging in volatile environment
- Robust Order Book provides hedge against cyclical

Group Performance - Sales & Costs



Q2 FY19	Q2 FY20	% Var	Rs Billion	H1 FY19	H1 FY20	% Var
306.8	353.3	15%	Revenue	576.8	649.6	13%
33%	34%	1%	International Rev.	34%	33%	-1%
192.0	208.6	9%	MCO Exp.	356.8	388.0	9%
17.9	20.2	13%	Fin. Charge Opex*	34.4	41.0	19%
44.0	61.4	39%	Staff Costs	85.3	106.9	25%
17.5	22.8	30%	Sales & Admin.	37.2	42.8	15%
271.4	313.1	15%	Total Opex	513.8	578.7	13%

* Finance cost of financial services business and finance lease activity

- Q2 revenue growth driven by Infra, Hydrocarbon and IT&TS businesses
- Fin charge opex is consequent on larger debt
- Staff cost increase on resource augmentation in Service businesses & Mindtree consolidation
- SG&A expenses higher on Mindtree consolidation & credit costs in Financial Services business



Group Performance - EBITDA to PAT

Q2 FY19	Q2 FY20	% Var	Rs Billion	H1 FY19	H1 FY20	% Var
35.4	40.2	14%	EBITDA	63.0	70.9	13%
(4.0)	(6.9)	72%	Fin. Cost	(7.6)	(12.7)	67%
(4.8)	(6.3)	32%	Depreciation	(10.8)	(10.9)	1%
4.1	6.0	46%	Other Income	6.4	12.3	93%
(8.2)	(7.9)	-3%	Tax Expense	(17.1)	(15.9)	-7%
(1.0)	0.4		JV/S&A PAT Share	1.6	(0.3)	
(3.6)	(2.4)	-33%	Non-controlling Int.	(6.2)	(5.8)	-6%
1.4	2.2		Discontinued Operations	2.2	3.3	
20.4	25.3	24%	Recurring PAT	32.5	40.9	26%
1.9	-		Exceptionals	1.9	(0.9)	
22.3	25.3	13%	Reported PAT	34.5	40.0	16%

- Finance cost commensurate with debt levels and phased commencement of Hyd. Metro
- Higher depreciation charge on account of Mindtree/RoU Assets
- Growth in other income arising from treasury gains
- JV/S&A PAT reflects IDPL Roads, Forgings & Power JVs performance
- E&A business classified as discontinued operations
- Reduction in NCI reflects lower profits in Service Businesses



Income Tax Expense

The Parent Company and some of the subsidiaries have computed the tax expense of the current financial year as per the tax regime announced under section 115BAA of the Income Tax Act, 1961. Accordingly,

- a) The provision for current and deferred tax has been determined at the rate of 25.17%
- b) The deferred tax assets and deferred tax liabilities as on April 1, 2019 have been restated at the rate of 25.17%
- c) The unutilised credit for minimum alternate tax as on April 1, 2019 has been written-off
- d) Barring IT&TS, most group companies plan to migrate to new tax regime

Segment Performance Analysis



Segment Composition



Infrastructure

Buildings & Factories (B&F)
Transportation Infra (TI)
Heavy Civil infra (HC)
Water & Effluent Treatment (WET)
Power T&D (PT&D)
Metallurgical & Mat. Handling (MMH)
Smart World & Comm.(SW&C)



Power

EPC- Coal & Gas
Thermal Power Plant
Construction
Electrostatic Precipitator
Power Equipment
Mfg. *



Heavy Engineering

Process Plant Equipment
Nuclear Power Plant
Equipment
Piping Centre & Forgings *



Defence Engineering

Defence
Aerospace
Shipbuilding



Hydrocarbon

Onshore
Offshore



IT & TS

Information Technology
Technology Services



Financial Services

Rural Lending
Housing Finance
Wholesale Finance
Asset Management



Developmental Projects

Roads / Trans Lines *
Metros
Power



Electrical & Automation

Electrical Standard Products
Electrical Systems & Equipment
Metering & Protection
Control & Automation



Others

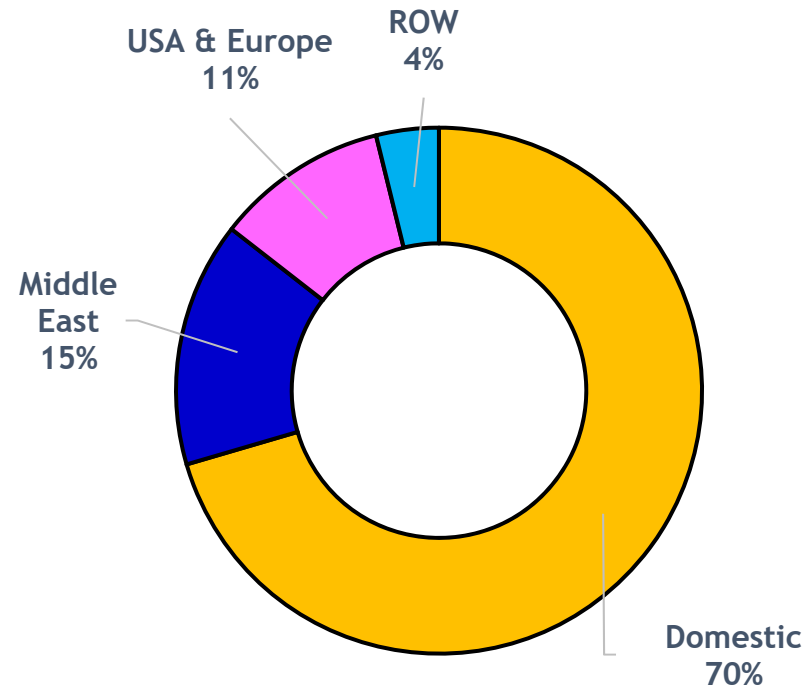
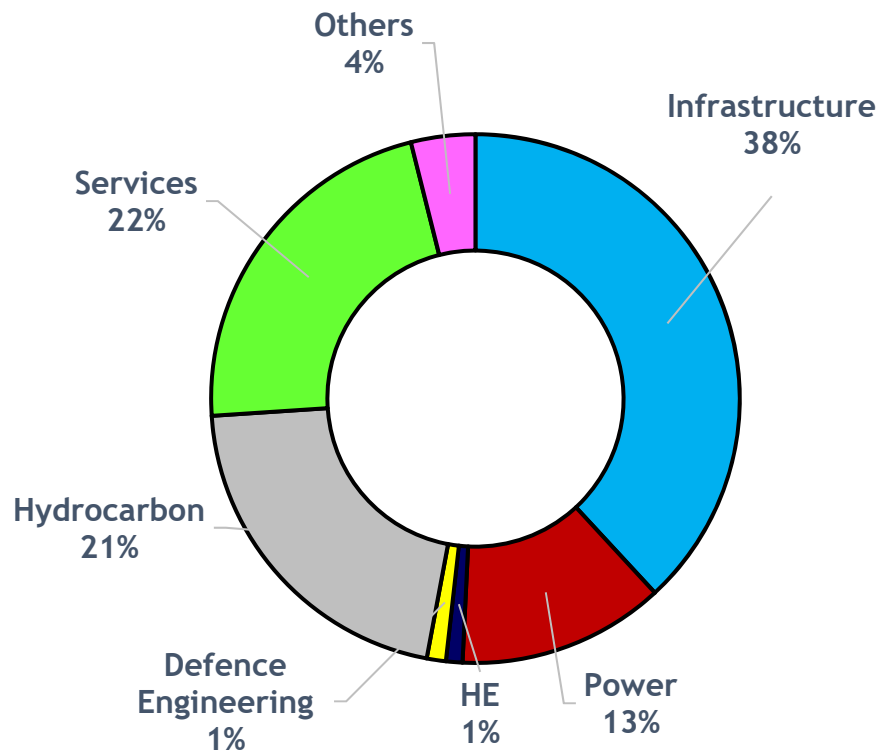
Realty
Industrial Products & Machinery

E&A Segment is classified a discontinued operations and consolidated at PAT level

** Consolidated at PAT level*



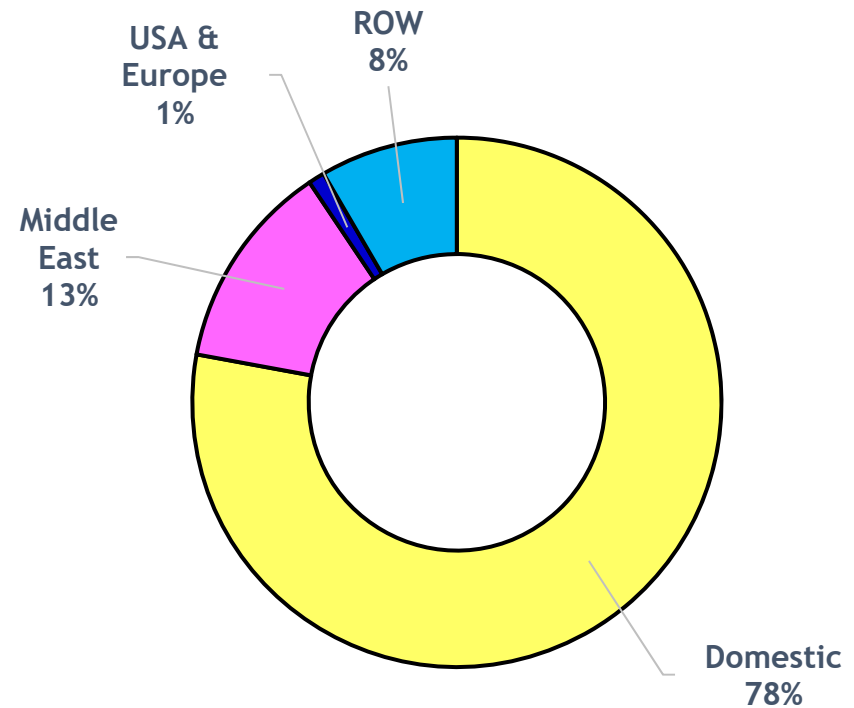
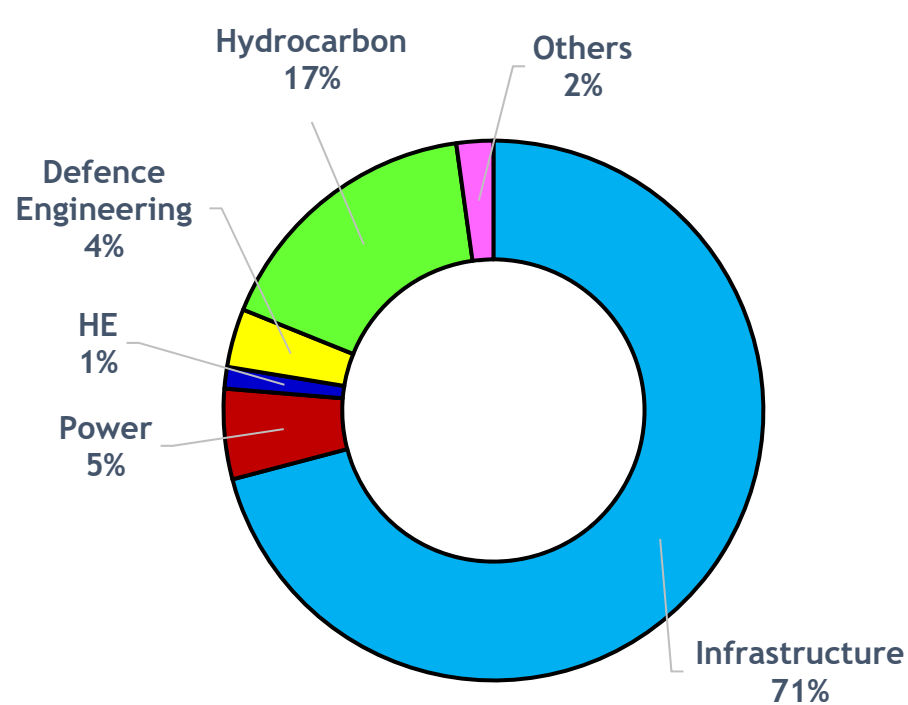
H1 FY20 Order Inflow Composition



Order Inflow Rs 870 Bn



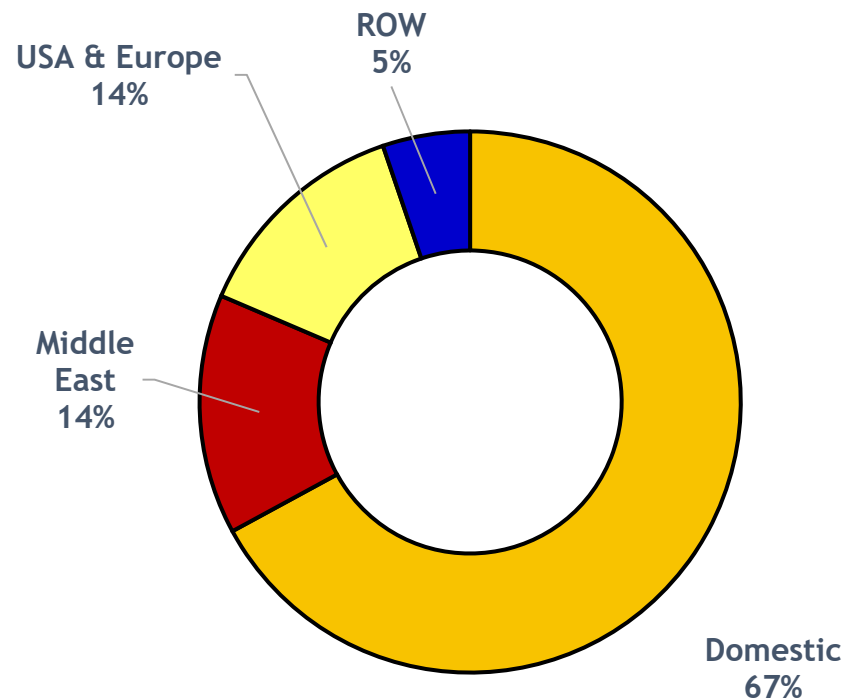
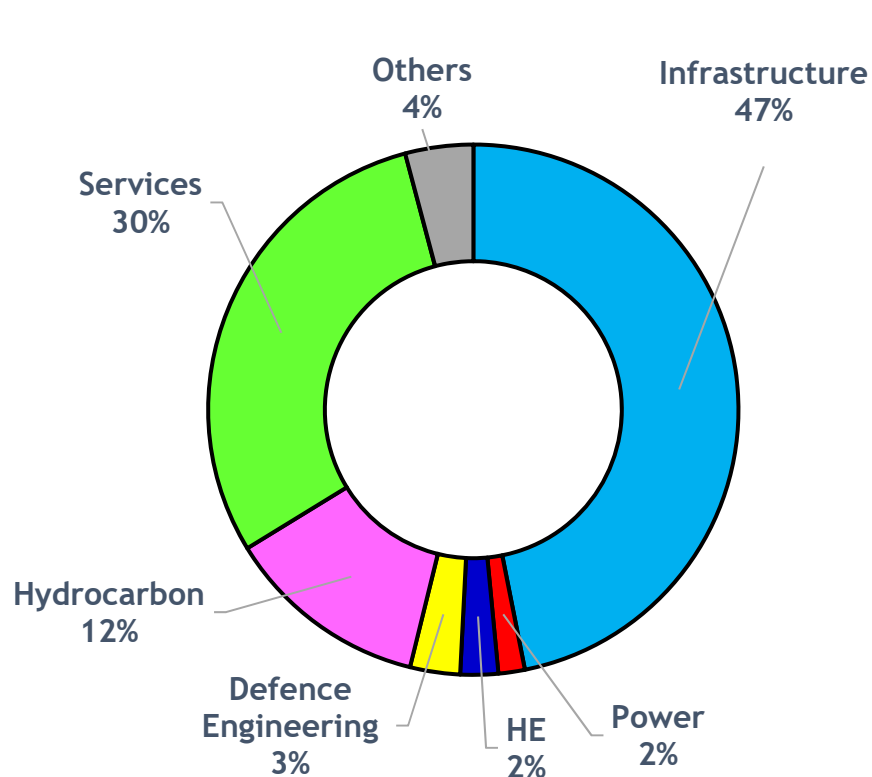
H1 FY20 Order Book Composition



Order Book Rs 3032 Bn



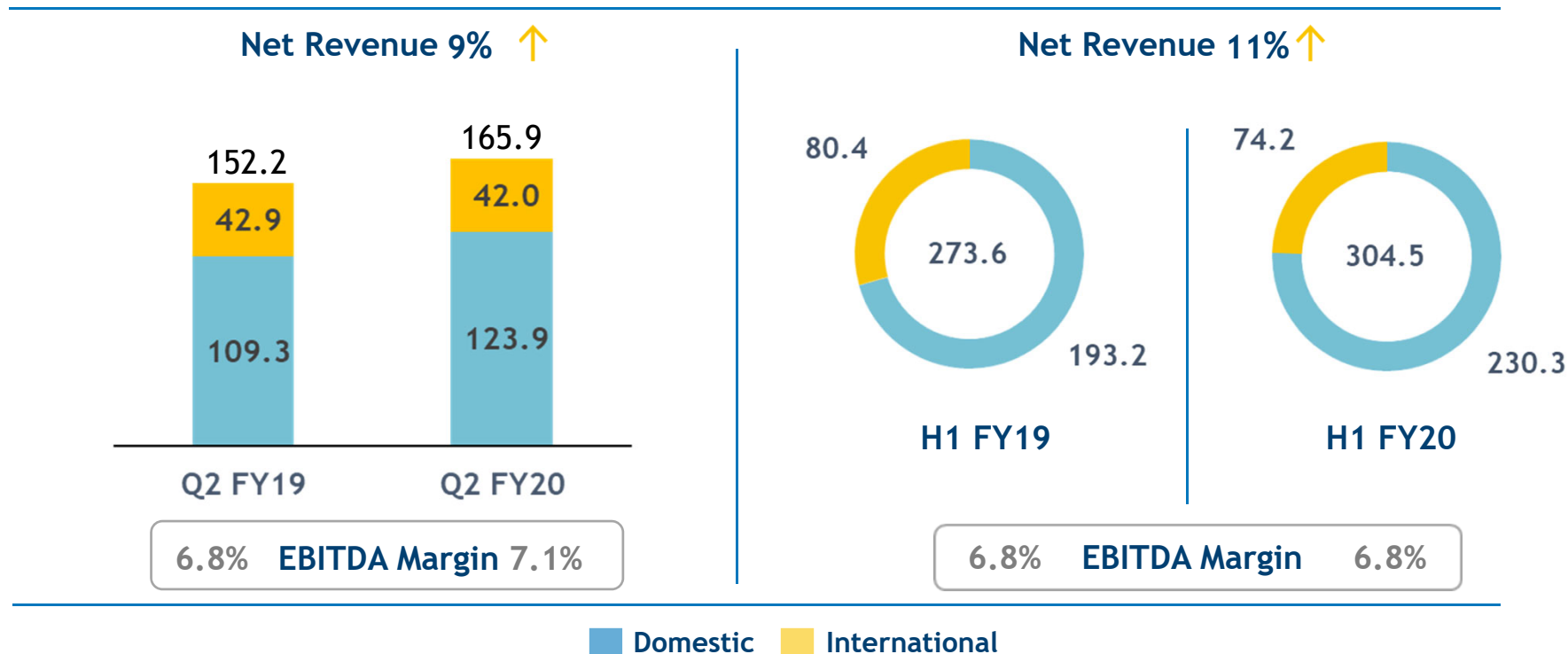
H1 FY20 Revenue Composition



Revenue Rs 650 Bn

Infrastructure Segment

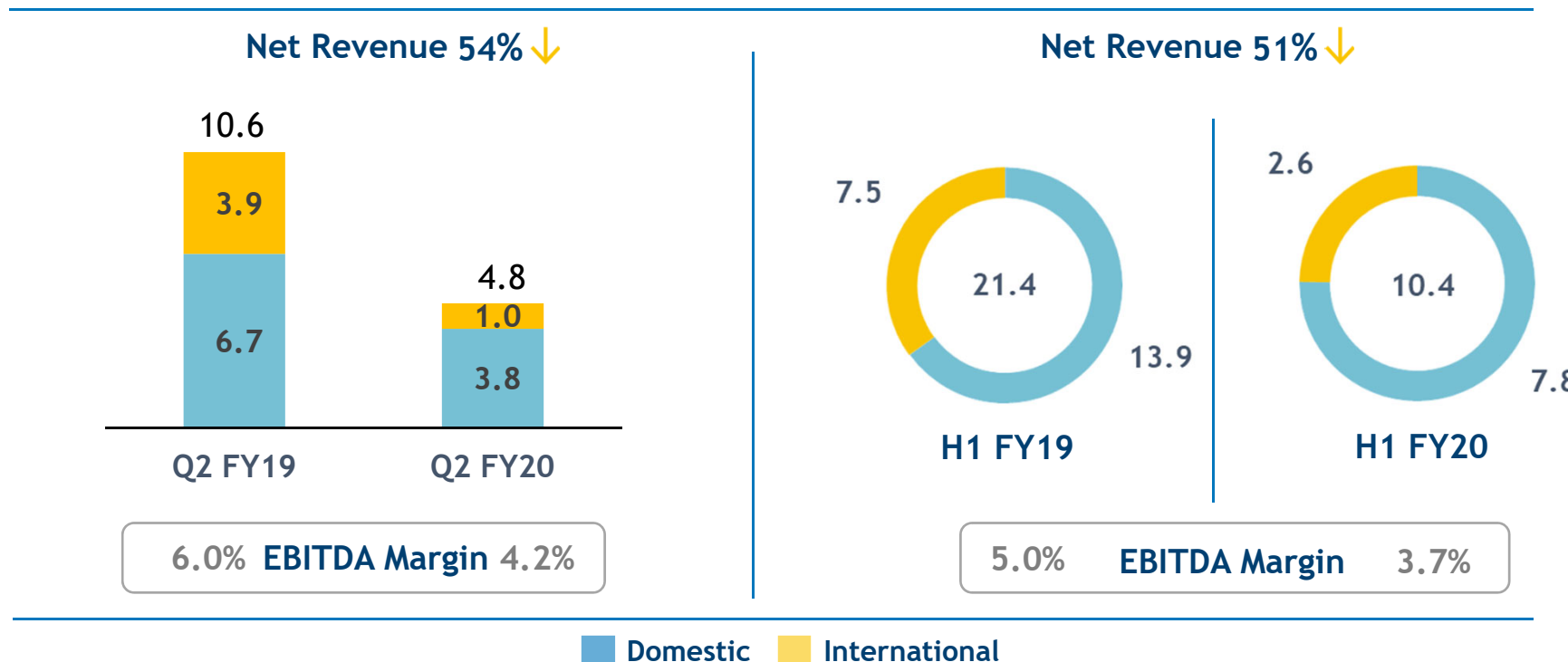
(Amount in ₹ bn)



- Public sector continues to drive Order Inflows
- Strong domestic revenue growth on robust order book conversion
- Margins reflect stage of execution and job mix

Power Segment

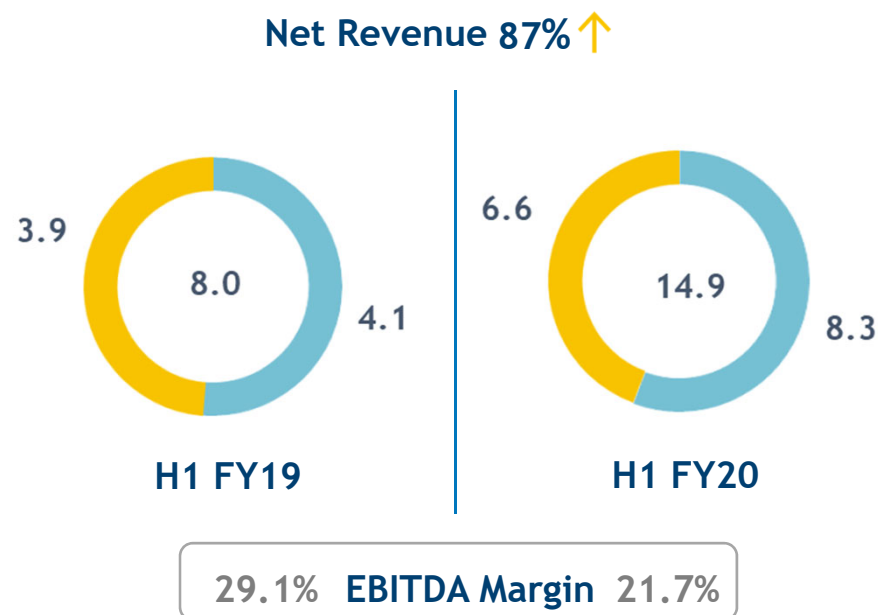
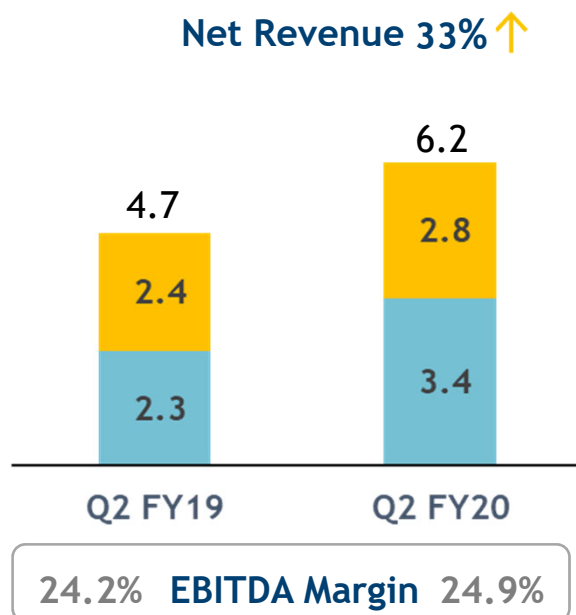
(Amount in ₹ bn)



- Strong order inflows in H1 replenishes order book
- Revenue decline reflects depleted opening order book
- Margins reflective of job mix & stage of execution
- Profits of MHPS and other JV companies are consolidated at PAT level under equity method

Heavy Engineering Segment

(Amount in ₹ bn)

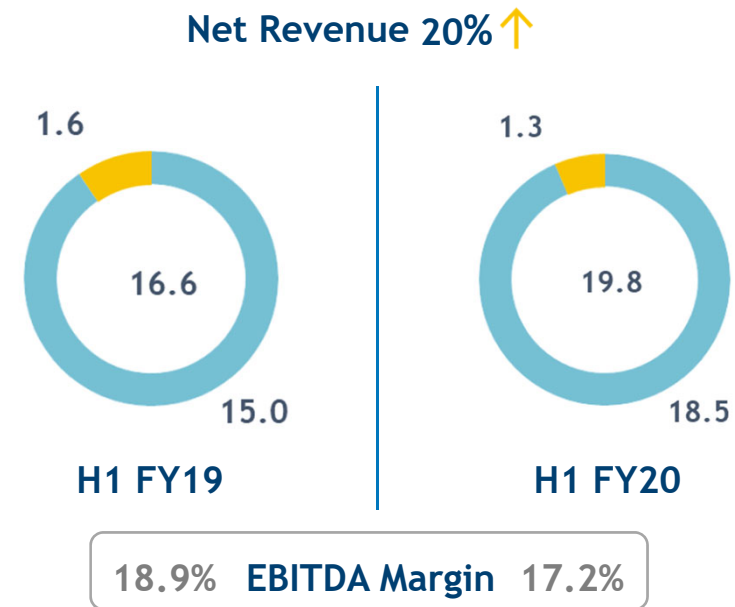
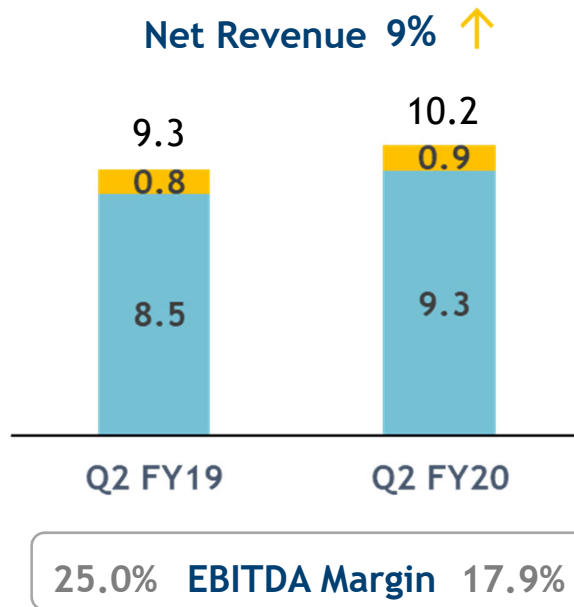


■ Domestic ■ International

- Q2 Order Inflows impacted by deferments
- Strong revenue growth driven by large opening Order Book
- Global competence, technology differentiation, proven track record and cost efficiencies yield strong margins

Defence Engineering Segment

(Amount in ₹ bn)

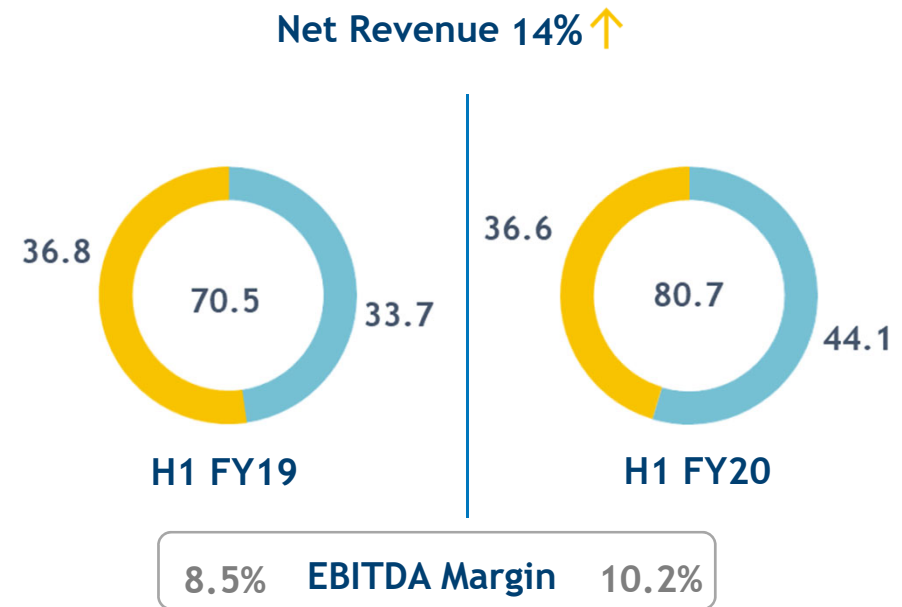
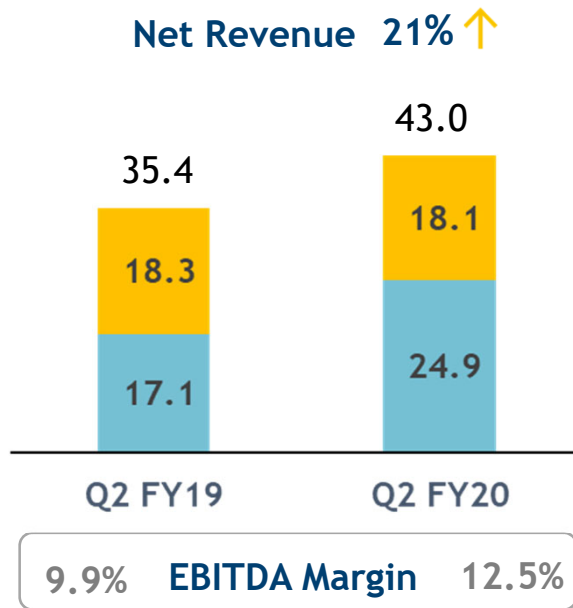


■ Domestic ■ International

- Current policy continues to inhibit private sector participation
- Execution of tracked artillery gun order continues to drive revenue growth & margins
- Margins reflect stage of execution, job mix and operational efficiency

Hydrocarbon Segment

(Amount in ₹ bn)

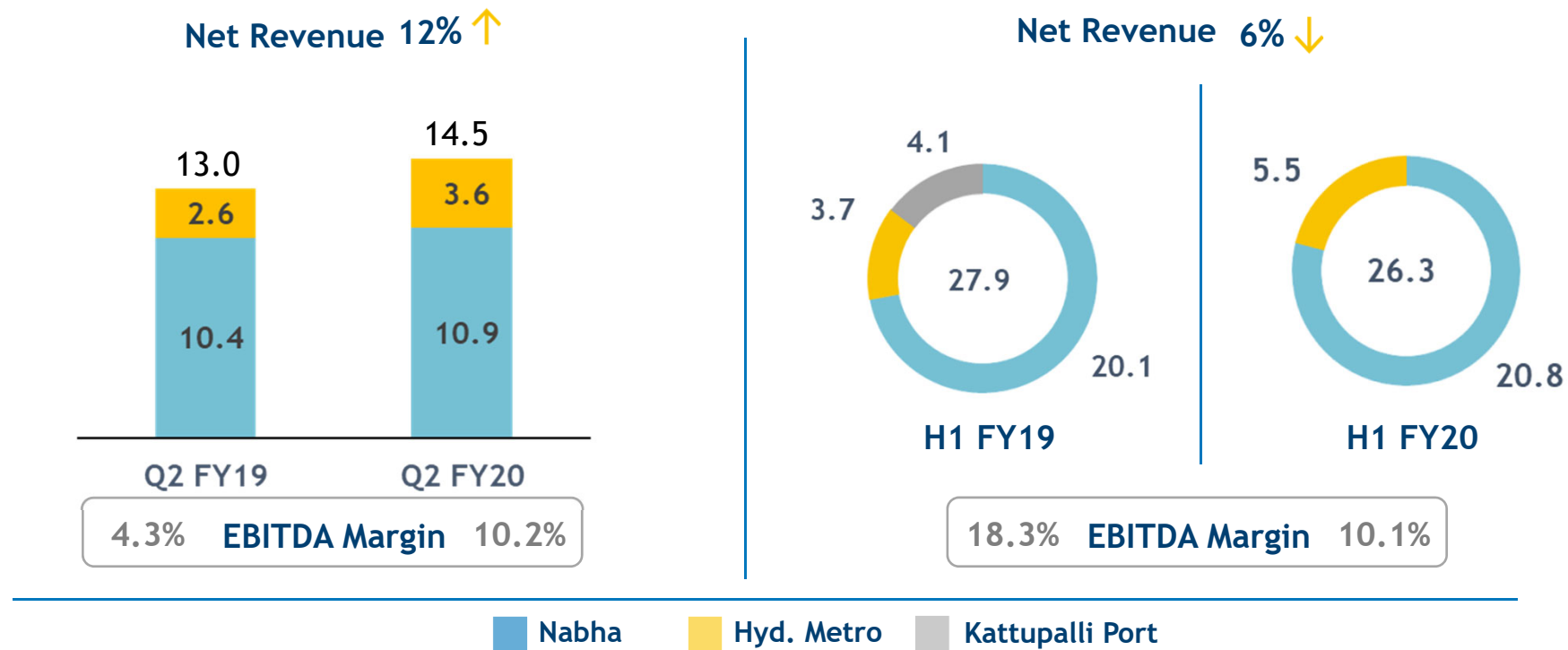


■ Domestic ■ International

- Significant Order Inflows obtained from domestic & international markets
- Strong revenue growth on the back of large opening Order Book
- Margins contributed by efficient execution, job mix & claims

Developmental Projects Segment

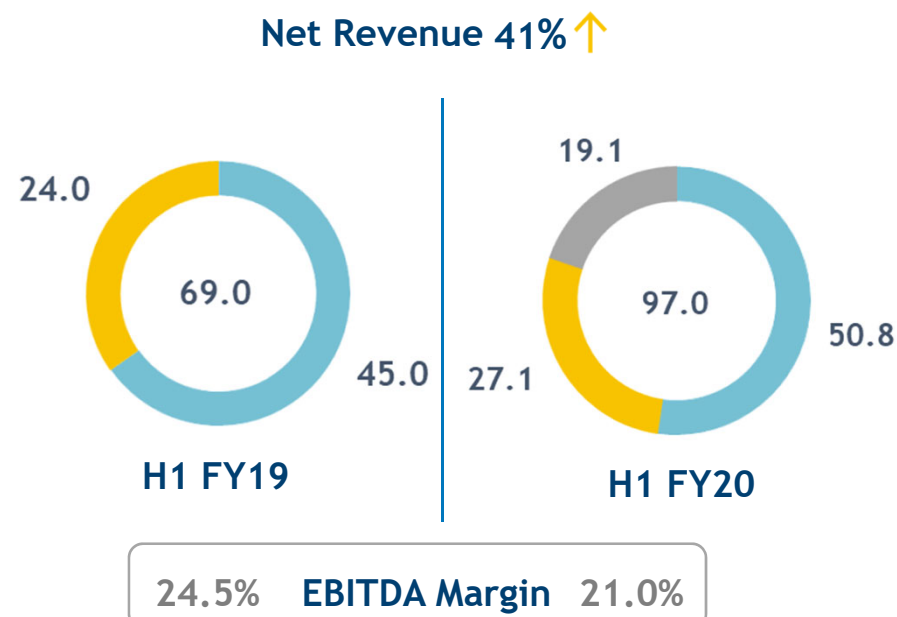
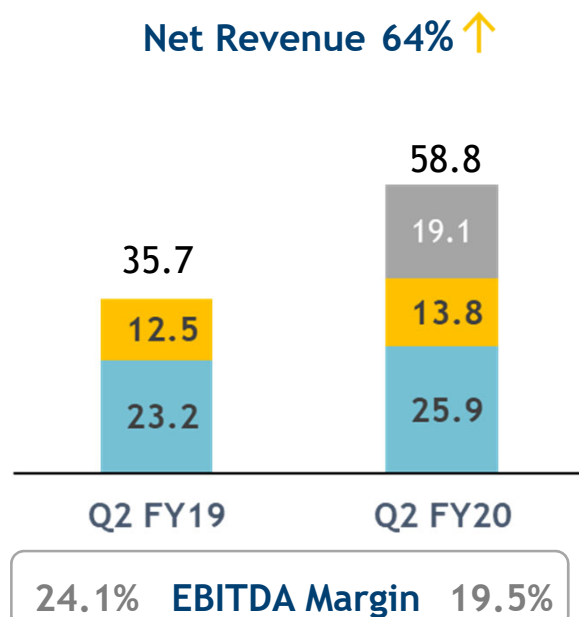
(Amount in ₹ bn)



- Segment includes Power Development business, Hyderabad Metro
- Revenue largely contributed by Power Development Business
- Hyd. Metro: Partial CoD of 30 Km in Nov'17, 16 km in Sept'18 and 9 km in Mar'19. Total of 55 km
- Margin profile still emerging
- IDPL (Roads & TL) consolidated at PAT level under Equity method

IT & Technology Services Segment

(Amount in ₹ bn)

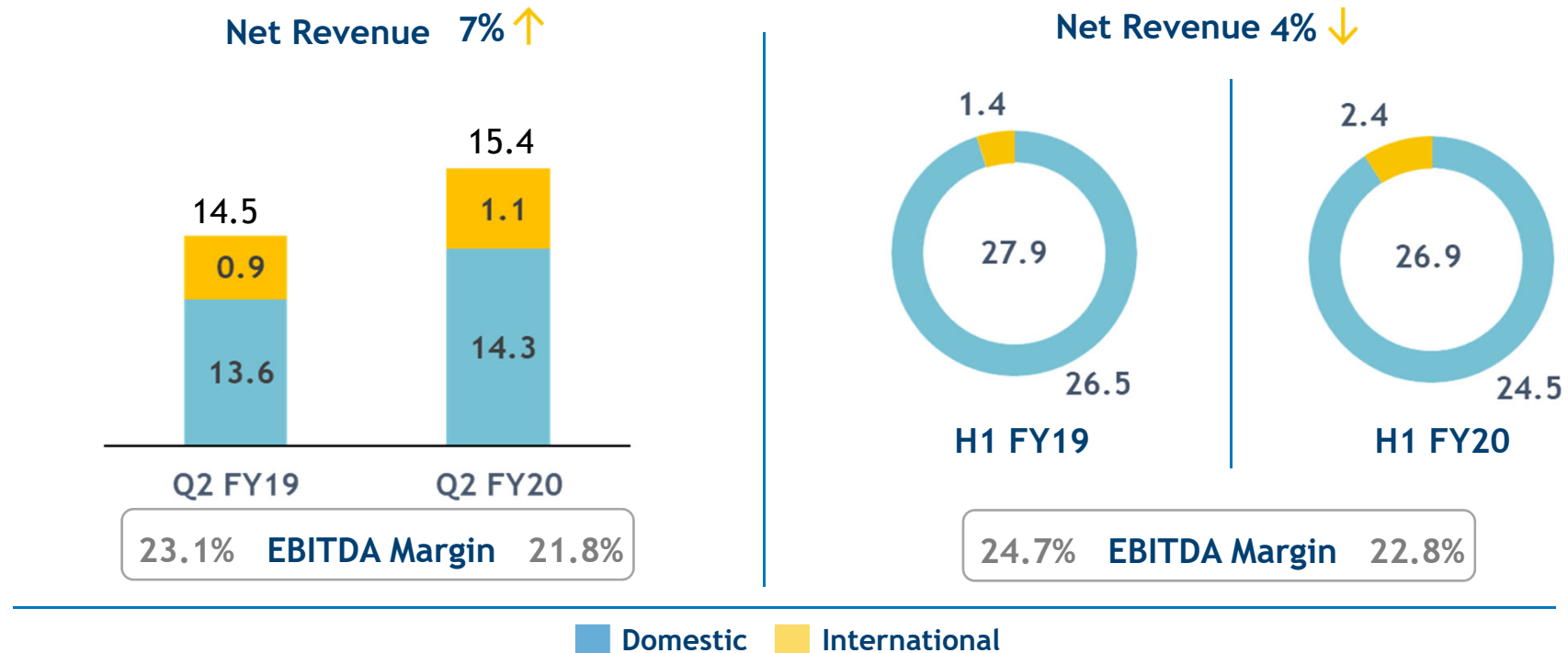


■ IT ■ TS ■ Mindtree

- Mindtree results consolidated in Q2
- LTI revenue growth led by Manufacturing and Energy & Utilities
- LTTS revenue growth led by Transportation, Plant Engineering and Medical Devices verticals
- Mindtree revenue growth led by Travel & Hospitality & High tech & Media
- Margin variation is outcome of increased resource cost

Others Segment

(Amount in ₹ bn)



- Segment comprises Construction & Mining Equipment, Rubber processing Machinery, Industrial Valves and Realty businesses
- Q2 revenue growth driven by realty & valves
- Margin drop due to business mix variation

L&T Finance Holdings Group

Q2 FY 19	Q2 FY 20	% Var	Rs Bn	H1 FY 19	H1 FY 20	% Var
32.2	36.1	12%	Income from Operations	63.3	72.1	14%
3.9	1.1	-71%	PAT (Net of NCI)	7.4	4.6	-38%
Mutual Fund Average AUM				737.5	692.1	-6%
Net Loan Book				912.0	1,002.6	10%
Gross Stage 3 Assets				7.1%	6.0%	
Net Stage 3 Assets				2.8%	2.8%	
Networth				123.2	139.8	

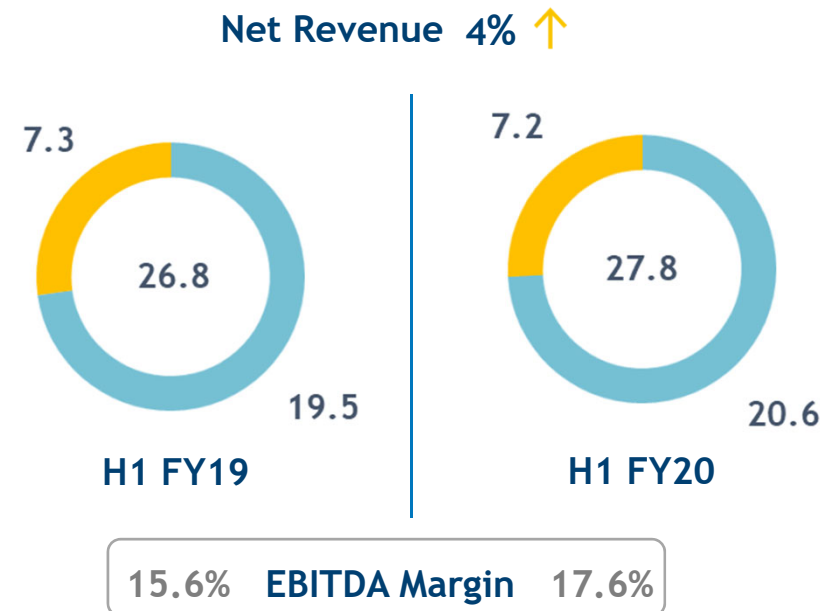
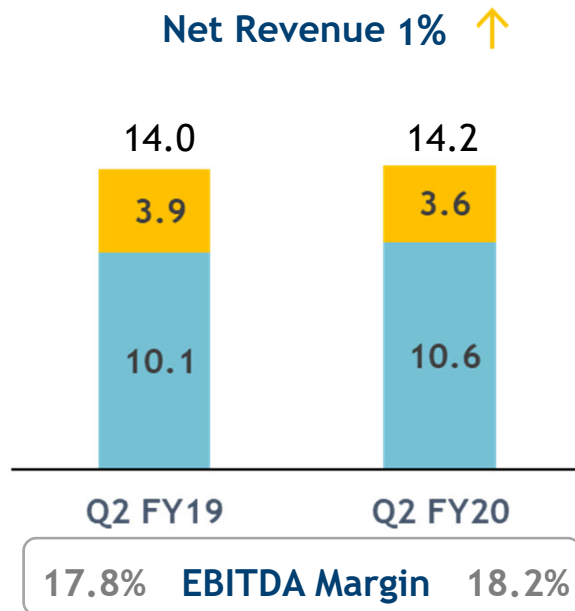
* PAT excludes NCI

- Growth in a challenging environment
- Focus continues on retailisation of loan book, robust NIMs & Fee Income, prudent ALM, asset quality and increasing diversity of funding sources
- Company opts for lower tax rate, one time impact arising out of DTA restatement

Note: Gross Stage 3 Assets include GNPA > 90 DPD + Impaired assets (S4A, SDR, 5:25, etc.) where regulatory forbearances are available + Identified standard assets which are under incipient stress

Electrical & Automation Segment

(Amount in ₹ bn)



■ Domestic ■ International

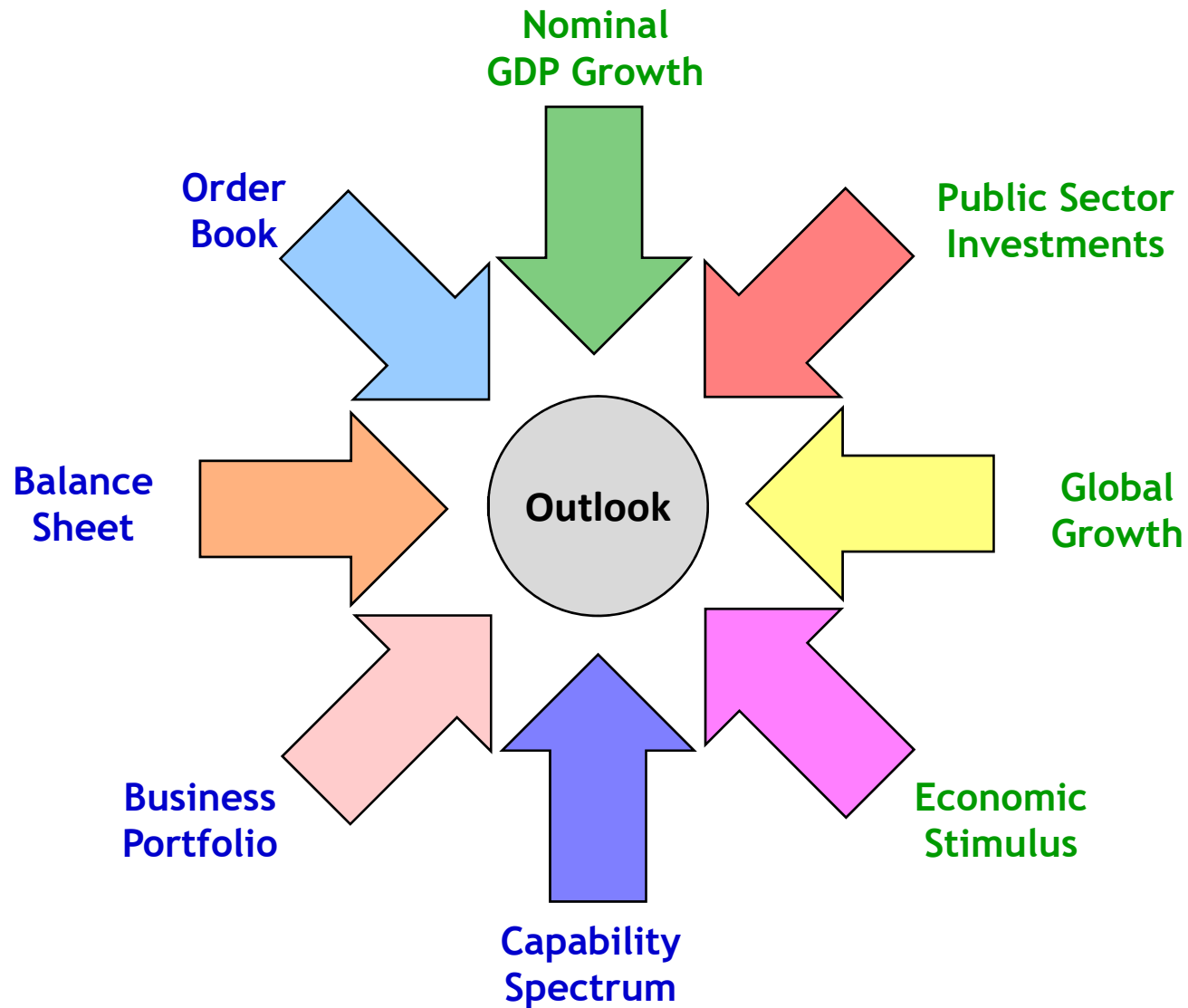
- Flat revenue growth in a soft demand environment
- Margin increase reflects operational efficiencies and better realisations

04 The Environment & Outlook



Engineering Manufacturing Construction Projects Technology Financial Services

Headwinds & Tailwinds



Thank You



Turn overleaf for Annexures



Segment Margin

Segment	H1 FY20			H1 FY19		
	Net Revenue (Rs. Crore)	EBITDA (Rs. Crore)	EBITDA %	Net Revenue (Rs. Crore)	EBITDA (Rs. Crore)	EBITDA %
Ex-Services business:						
Infrastructure Segment	30455	2061	6.8%	27359	1871	6.8%
Power Segment	1045	39	3.7%	2139	107	5.0%
Hydrocarbon Segment	8065	822	10.2%	7054	598	8.5%
Heavy Engineering Segment	1493	324	21.7%	799	233	29.1%
Defence & Aerospace	1982	341	17.2%	1657	313	18.9%
Other Segment	2692	613	22.8%	2790	690	24.7%
Total (ex-services)	45731	4200	9.2%	41797	3812	9.1%
Services Business:						
IT & TS Segment	9696	2036	21.0%	6897	1687	24.5%
Financial Services Segment	6907	1536	22.2%	6196	1550	25.0%
Developmental Projects Segment	2631	265	10.1%	2792	510	18.3%
Total (Services)	19233	3838	20.0%	15885	3747	23.6%
Total	64,964	8,038	12.4%	57,682	7,560	13.1%
EBITDA TO PAT (H1 FY20)						
Particulars	Financial Services	IT & TS	Dev. Projects	Ex-Services	Corporate	Total
EBITDA	1536	2036	265	4200	284	8322
Depreciation, Finance Cost & Tax Expense	-807	-829	-243	-1331	-739	-3950
Non-controlling interest	-266	-308	0	-6	-0	-580
Share in profit/(loss) of JV and associate			-76	31	16	-29
Exceptional items			-94			-94
PAT from discontinued operations						331
Profit After Tax	463	899	-147	2893	-440	4000



Balance Sheet

Rs Billion	Sep-19	Mar-19	Incr / (Decr)
Equity & Reserves	633	624	9
Non Controlling Interest	91	68	23
Borrowings - Financial Services	890	915	(25)
Development Projects	197	191	6
Others	242	149	93
Sources of Funds	2,054	1,948	107
Fixed Assets	152	134	18
Intangible Assets & Investment Property	309	217	92
Loans towards Financing Activities	934	913	20
Finance lease receivable	89	90	(1)
Net Non-Current Assets	135	180	(45)
Current Investments, Cash & Cash Equivalents	163	257	(94)
Net Current Assets	250	156	93
Assets held for Sale (net)	23	0	23
Application of Funds	2,054	1,948	107
Gross Debt/Equity Ratio	1.8	1.8	



Cash Flow

Q2 FY19	Q2 FY20	Rs Bn	H1 FY19	H1 FY20
39.8	45.6	Operating Profit	67.7	83.0
(0.7)	(18.8)	Changes in Working Capital	(36.0)	(85.6)
(13.2)	(12.9)	Direct Taxes paid	(22.3)	(21.7)
25.9	13.9	Net Cash from Operations (A)	9.3	(24.2)
(7.1)	(5.5)	Net Investment in Fixed Assets (incl. Intangible)	(13.7)	(10.2)
(10.6)	21.4	Net (Purchase)/ Sale of Long Term investments	(7.3)	(39.9)
(66.1)	26.8	Net (Purchase)/ Sale of Current investments	(81.8)	66.6
(0.2)	0.2	Loans/Deposits made with JV/Associate Cos.	(0.4)	(0.2)
0.8	1.9	Interest & Dividend Received	3.2	5.4
(83.2)	44.9	Net Cash from/(used in) Invest. Act. (B)	(99.9)	21.8
24.6	(4.5)	Issue of Share Capital / Minority	30.5	1.9
137.5	(13.6)	Net Borrowings	166.3	74.5
(58.4)	(9.0)	Disbursements towards financing activities*	(72.2)	(21.5)
(32.1)	(35.6)	Interest & Dividend paid	(41.3)	(44.1)
71.6	(62.7)	Net Cash from Financing Activities (C)	83.2	10.8
14.4	(3.9)	Net (Dec) / Inc in Cash & Bank (A+B+C)	(7.4)	8.4

Share in Profit/(Loss) of JVs/Associates

Q2 FY19	Q2 FY20	Rs Bn	H1 FY19	H1 FY20
0.39	0.61	MHPS JVs	0.81	0.93
(0.88)	(0.01)	IDPL & Subs.	1.67	(0.73)
(0.35)	(0.36)	Special Steels and Heavy Forgings	(0.71)	(0.72)
(0.13)	0.15	Others	(0.14)	0.23
(0.96)	0.40	Total	1.63	(0.29)

Concessions Business Portfolio - 14 SPVs



Roads and Bridges

Portfolio:
10 projects (1048 Km)
10 Operational

Project Cost:
Rs 108 bn



Transmission Lines

Portfolio:
1 project (482 Km)
- Operational

Project Cost:
Rs15 bn



Metros

Portfolio:
1 project (71.16 Km)
- Under-implementation

Project Cost:
Rs190 bn



Power (Excl. Projects under DPR)

Portfolio:
2 projects (1499 MW)
1 Operational

Project Cost:
Rs 115 bn

Rs 428 Bn

Total Project Cost (Sep 2019)

Rs 86 Bn

Equity Invested at SPV level
(Sep 2019)

Rs 6 Bn

Balance Equity Commitment
(Sep 2019)

Major Opportunities

Roads & Highways

National & State Highways
Expressways
Special Bridges
Tunnels
Elevated Corridors



Railways

Metro Railways
High speed Rail
Track laying / Track modernization for conventional railways
Railway Electrification



Water

Water transmission & distribution
Lift Irrigation schemes
Water Treatment (Incl. Desal)
Effluent & Waste water Treatment



Smart Cities

Surveillance systems
Optical fiber layout
Traffic mgmt system
Smart Grid



Power T&D

Transmission Lines
Substations
Distribution Networks
Green Energy corridors
Solar EPC



Building & Factories

Airports
Affordable & Mass Housing
Commercial Buildings
Hospitals & Medical Colleges
Hospitality
Factory Buildings



Defence & Aerospace

Naval Vessels
Submarines
Gun & Missile Systems
Defence Electronics
Aerospace Equipment



Hydrocarbon

Onshore projects in Refineries and petrochemicals
Offshore projects
Fertilizer plants
Oil & Gas Pipelines



Nuclear Power

Nuclear Reactors
Steam generators
Nuclear Plant Civil Construction
Balance of Plant Works

